

DK Coffee Lab – Start-up Transactions

1. Denessa invested \$25,000 of her personal savings into the business as Equity.
2. She raised \$10,000 from family members, and made them part owners of the business by contributing their \$10,000 as Equity.
3. Denessa secured a \$10,000 grant from her Community Economic Development Council. The grant does not need to be repaid, so counts as Revenue (in this case).
4. Denessa purchased Fixed Assets (e.g., furniture and equipment) totaling \$28,500. She used her credit card for \$2,500 of the purchase and paid the balance of \$26,000 with cash.
5. Start-up expenses, including marketing and licenses, her security deposit and one month's rent, totaled \$14,900 and were all paid in cash.
6. Inventory in the amount of \$2,500 was purchased. Denessa paid cash for \$1,750 of the inventory, with the balance of \$750 going into Accounts Payable.

DK Coffee Lab – Quarter 1 Transactions

1. Occupancy Expenses for Q1, including rent, utility and insurance totaled \$9,700 and were all paid with cash.
2. Inventory purchases of food and beverages in Q1 totaled \$26,650. \$24,000 was paid in cash and the balance of \$2,650 went into Accounts Payable.
3. Revenue for Q1 was \$55,250 and was all collected in cash (credit/debit card transactions are treated as Cash).
4. Cost of Goods Sold for Q1 was \$25,400.
5. Denessa used cash to pay \$2,000 of her Accounts Payable balance
6. Marketing and other Administrative Expenses in Q1 were \$2,200 and were all paid with cash.
7. Wages and Benefit Expense for Q1 was \$17,500 and was paid in cash.
8. Credit card interest expense of \$200 was paid in cash. There was no change in the credit card balance.